

PARDEE RESOURCES COMPANY

3RD QUARTER 2022



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q3 2022, Pardee Resources Company earned \$1.63 per share, which includes a non-cash impairment charge of \$5.90 per share, related to the planned sale of a portion of our portfolio of solar photovoltaic (PV) systems which are located in New Jersey. Without this charge, our earnings per share were \$7.53 per share, an increase of 120% above the \$3.43 per share earned during Q3 2021. EBITDA during the quarter was \$6.14 per share, which also includes the non-cash impairment charge related to our New Jersey solar portfolio, without which our EBITDA was \$12.04 per share, 79% higher than our EBITDA of \$6.74 per share earned in 2021. Pardee's financial results during the quarter continued to benefit from strong market prices for coal, natural gas, and hardwood timber, although prices in all three of these sectors have declined in the face of higher interest rates, the continuing Russia-Ukraine crisis, and weakening domestic and global economies.

Alternative Energy Division: We have initiated the sale of our New Jersey portfolio of 15 solar PV generating systems, and concurrently have taken a non-cash impairment charge of \$3.9 million against these assets. This portfolio, which was acquired over ten years ago, is on track to achieve our original targeted after-tax internal rate of return of 10% (including consideration of the impairment charge), due largely to strong revenues from solar renewable energy credits (SRECs), which in New Jersey, are only available during the first 15 years of a project's life. Given our SREC revenues are projected to decline going forward while the maintenance burden of these systems increase, we believe this is an opportune time to sell these assets. We intend to continue to pursue the acquisition of new tax advantaged renewable energy assets. Through the end of Q3 2022, year-to-date (YTD) Division revenues declined 12.7% versus the same period in 2021, because of the expiration of certain high-priced, long-term SREC contracts in New Jersey.

Metallurgical Coal Division: Total U.S. metallurgical coal production is expected to exceed 71 million tons during 2022, up from 65.5 million tons produced during 2021. Approximately 65% of this coal is produced in the Central Appalachia region where Pardee's reserves are located. Appalachian producers are well positioned to service the growing export market, which is expected to account for 75% of U.S. metallurgical coal sales in 2022. While falling from the record levels reached earlier in the year, metallurgical coal prices remained elevated during Q3 2022, which together with gains in production, helped Division revenues reach \$16.0 million YTD, a 129% increase above 2021 levels.

Oil & Gas Division: Appalachian Basin natural gas prices remained strong during the quarter, averaging \$7.16 per MMBtu in Q3 2022 versus \$3.16 per MMBtu during Q3 2021. The June 1st through August 31st period was the third hottest on record in the U.S., leading to record consumption of natural gas in the electric power sector, where high thermal coal prices discouraged gas-to-coal switching. LNG exports to Europe also supported the market even though a major Texas export facility remained off-line during Q3 but is expected to resume operations in November 2022. Division revenues totaled \$10.8 million YTD, 86% higher than 2021 levels due to higher prices.

Timber & Surface Division: The growth in single-family housing starts was a major driver for increased lumber demand through mid-year. However, this growth turned negative during Q3 2022 due to the rapid increase in mortgage interest rates, which weighed on both lumber demand and prices. The hardwood export market also experienced headwinds due to the worsening global economic outlook, declining 13% in July versus June. While our realized stumpage rates held up well during the quarter, lower prices are expected for the balance of the year. Timber production remains challenged by shortages of labor, parts and equipment, with Q3 production being further impacted by unusually wet weather. Division revenues totaled \$6.7 million YTD, 33.3% higher than 2021 because of higher timber prices and real estate gains associated with our lot sale initiative.

Agriculture Division: Record summer temperatures caused a reduction in table grape berry size and bunch count throughout the Central Valley California region, thereby lowering the average yields per acre. At Pardee's largest 220-acre ranch, our yields are currently projected to be 15-20% lower than 2021 levels. Meanwhile, our almond tree farm in Portugal continues to develop well, and is expected to reach full commercial maturity in 2024.

Summary: In early October 2022, we held a two-day corporate retreat with all our employees which marked the first time since 2019 (pre-COVID) that many of our employees were able to interact with each other in person. Thanks to their skill and dedication, our Company has achieved strong operating performance thus far in 2022 and ended Q3 with \$31.3 million in cash in the bank and limited debt, allowing the Company to meet its dual goals of returning capital to shareholders and investing for future growth.

*Please see page 6 for an update of legal matters.

Sincerely yours,



Chairman
Benjamin A. Burditt



President & CEO
Carleton P. Erdman

Corporate Office
Pardee Resources Company
1500 Chestnut Street, Suite 2 #1950
Philadelphia, PA 19102
(215) 405-1260
pardee@pardee.com

Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

ASSETS	<u>9-30-22</u>	<u>12-31-21</u>
Current Assets:		
Cash & Cash Equivalents	\$31,266	\$20,177
Accounts Receivable	7,707	7,758
Prepaid Income Taxes	0	121
Assets Held for Sale	3,645	0
Other	<u>5,036</u>	<u>1,139</u>
	<u>47,654</u>	<u>29,195</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	27,526	27,921
Mineral Rights - Coal	33,010	33,153
Timber	9,715	10,032
Solar Equipment	12,006	20,525
Building & Structures	1,215	1,223
Agriculture Development	9,083	9,064
Equipment	441	428
Automobiles	143	188
Other Fixed Assets	<u>1,567</u>	<u>1,261</u>
	<u>94,706</u>	<u>103,795</u>
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	34,448	36,402
Equity Investments	514	563
Right of Use Asset	3,299	3,578
Other	<u>158</u>	<u>185</u>
Total Assets	<u><u>\$180,779</u></u>	<u><u>\$173,718</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$2,172	\$3,175
Deferred Revenues	33	712
Income Taxes Payable	410	144
Current Portion Lease Liability	<u>404</u>	<u>404</u>
	3,019	4,435
Noncurrent Liabilities:		
Non-recourse Debt	1,057	1,134
Asset Retirement Liability	32	56
Supplemental Pension Plan	496	510
Deferred Revenue, Net of Current Portion	635	390
Deferred Taxes	17,339	17,339
Lease Liability	3,345	3,531
Other	<u>120</u>	<u>104</u>
Total Liabilities	<u>26,043</u>	<u>27,499</u>
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	13,664	14,484
Accumulated Other Comprehensive Income	(25)	(25)
Retained Earnings	161,140	153,246
Treasury Stock	<u>(24,084)</u>	<u>(25,317)</u>
	151,470	143,163
Noncontrolling Interest	<u>3,266</u>	<u>3,056</u>
Total Equity	<u>154,736</u>	<u>146,219</u>
Total Liabilities & Equity	<u><u>\$180,779</u></u>	<u><u>\$173,718</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended 09-30-22	Three Months Ended 09-30-21	Nine Months Ended 09-30-22	Nine Months Ended 09-30-21
Divisional Revenues:				
Metallurgical Coal	\$4,994	\$2,417	\$16,036	\$7,015
Oil & Gas	4,137	2,506	10,784	5,810
Timber & Surface	1,604	2,046	6,723	5,037
Alternative Energy	844	890	2,541	2,912
Agriculture	<u>7</u>	<u>27</u>	<u>152</u>	<u>(42)</u>
	<u>11,586</u>	<u>7,886</u>	<u>36,236</u>	<u>20,732</u>
Divisional Expenses:				
Metallurgical Coal	622	832	2,124	2,160
Oil & Gas	1,042	941	3,154	3,026
Timber & Surface	881	846	2,533	2,286
Alternative Energy	587	658	1,601	1,739
Agriculture	<u>468</u>	<u>100</u>	<u>900</u>	<u>420</u>
	<u>3,600</u>	<u>3,377</u>	<u>10,312</u>	<u>9,631</u>
Net Operating Income	\$7,986	\$4,509	\$25,924	\$11,101
Interest and Other Income	45	11	70	34
Gain (Loss) on Equity Investment	0	28	(2)	78
General and Administrative	(1,458)	(1,469)	(4,789)	(4,502)
Asset Impairment	(3,892)	0	(3,892)	0
Interest Expense	<u>(9)</u>	<u>(7)</u>	<u>(22)</u>	<u>(21)</u>
Income Before Taxes	\$2,672	\$3,072	\$17,289	\$6,690
Taxes	<u>1,792</u>	<u>845</u>	<u>5,782</u>	<u>1,840</u>
NET INCOME	\$880	\$2,227	\$11,507	\$4,850
Net Loss - Noncontrolling Interest	<u>197</u>	<u>28</u>	<u>286</u>	<u>87</u>
Net Income - Pardee Resources Shareholders	<u>1,077</u>	<u>2,255</u>	<u>\$11,793</u>	<u>\$4,937</u>
EARNINGS PER SHARE	\$1.63	\$3.43	\$17.87	\$7.51
EBITDA PER SHARE	\$6.14	\$6.74	\$26.55	\$16.07
(earnings before interest, taxes, depreciation and amortization)				
Weighted Average Number of Common Shares Outstanding	<u>659,910</u>	<u>656,993</u>	<u>659,910</u>	<u>656,993</u>
Common Dividend Per Share	<u>\$1.80</u>	<u>\$1.80</u>	<u>\$5.40</u>	<u>\$5.40</u>
Total Shareholder Return (dividend paid plus change in stock price)			<u>22.88%</u>	<u>26.06%</u>

Pardee Resources Company Comparison Data Sheet

	Three Months Ended 09-30-22	Three Months Ended 09-30-21	% Change	Nine Months Ended 09-30-22	Nine Months Ended 09-30-21	% Change
Metallurgical Coal						
Revenues - Millions	\$4.99	\$2.42	106.2%	\$16.04	\$7.02	128.5%
Production - Coal Tons - Millions	0.67	0.45	48.9%	2.02	1.29	56.6%
Royalty/Coal Ton	\$6.97	\$3.97	75.6%	\$7.42	\$3.77	96.8%
Oil & Gas						
Revenues - Millions	\$4.14	\$2.51	64.9%	\$10.78	\$5.81	85.5%
Production - bcfe	0.56	0.62	-9.7%	1.67	1.82	-8.2%
Price/mcfe	\$7.52	\$3.84	95.8%	\$6.39	\$3.20	99.7%
Timber & Surface						
Revenues - Millions	\$1.60	\$2.05	-22.0%	\$6.72	\$5.04	33.3%
Production - Board feet - Millions	1.24	2.36	-47.5%	9.50	10.37	-8.4%
Stumpage Price/Thousand Bd. Ft.	\$357.07	\$355.35	0.5%	\$380.61	\$288.79	31.8%
Production - Softwood Tons - Thousands	30.02	28.98	3.6%	50.23	48.70	3.1%
Stumpage Price/Ton Softwood	\$13.60	\$10.27	32.4%	\$14.18	\$11.54	22.9%
Production - Hardwood Tons - Thousands	4.44	8.84	-49.8%	30.16	37.40	-19.4%
Stumpage Price/Ton Hardwood	\$3.65	\$4.34	-15.9%	\$3.01	\$3.02	-0.3%
Alternative Energy						
Revenues - Millions	\$0.844	\$0.890	-5.2%	\$2.541	\$2.912	-12.7%
Production - k/w - Millions	4.45	4.06	9.6%	12.96	13.71	-5.5%
Electric Sales Price per k/w	\$0.117	\$0.112	4.5%	\$0.115	\$0.113	1.8%
Production - SREC Units	1,718	4,456	-61.4%	10,475	14,100	-25.7%
SREC Price/Credit	\$153	\$92	66.3%	\$94	\$92	2.2%
NET DIVISIONAL OPERATING INCOME:						
(Dollars in Millions)						
Metallurgical Coal	\$4.37	\$1.59	174.8%	\$13.91	\$4.86	186.2%
Oil & Gas	3.10	1.57	97.5%	7.63	2.78	174.5%
Timber & Surface	0.72	1.20	-40.0%	4.19	2.75	52.4%
Alternative Energy	0.26	0.23	13.0%	0.94	1.17	-19.7%
Agriculture	(0.46)	(0.07)	-557.1%	(0.75)	(0.46)	-63.0%
Net Operating Income	<u>\$7.99</u>	<u>\$4.52</u>	76.8%	<u>\$25.92</u>	<u>\$11.10</u>	133.5%
EBITDA - Millions	<u>\$4.05</u>	<u>\$4.43</u>	-8.6%	<u>\$21.41</u>	<u>\$10.56</u>	102.7%
(earnings before interest, taxes depreciation and amortization)						

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

On October 16, 2019, the district court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This is a favorable development but is being appealed by the plaintiff. Discovery is not complete, and a trial date has not been set.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

DC Solar Solutions, Inc.

In December 2015, the Company invested \$7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that, in December 2018, the U.S. government seized substantially all of the assets of DC Solar and its affiliates. In February 2019, DC Solar and its affiliates, including our lessee, filed for Chapter 11 bankruptcy protection. In February 2019, an affidavit from a Federal Bureau of Investigation special agent was filed in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceedings were subsequently converted to Chapter 7 liquidations. Due to the bankruptcy proceedings being converted to Chapter 7, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018.

In 2019, an independent audit located and identified all of the 125 MSGs purchased by the Fund in 2015. On July 2, 2020, the DC Solar Bankruptcy Court entered an order authorizing the sale of the Fund's MSGs, along with those of the other DC Solar funds. The buyer conducted an inventory of the MSGs to be purchased and was able to locate only 113 of the Fund's 125 MSGs that had been located during the 2019 inventory. In September 2020, the buyer closed on its acquisition of the 113 MSGs, yielding \$412,225 in gross sale proceeds. As a result of the MSG sale, the Company was required to recapture the fifth unvested year related to the underlying investment tax credit that the original investment yielded. In 2015, the investment allowed the Company to claim a \$5.6 million investment tax credit which requires a five-year holding period. The accounting for this investment tax credit in 2015 created a \$5.6 million tax asset while recording a direct write-off to the equity investment's carrying value. In 2020, the 20% investment tax credit recapture restored the investment's carrying amount to \$1.1 million or 20% of the original investment tax credit claimed. Subsequently, the Company recorded a \$1.1 million charge to 2020 pre-tax earnings related to this recapture. For tax purposes, the \$1.1 million charge is not tax deductible, and 20% of the original tax asset was removed from the Balance Sheet.

The Company remains vigorously engaged with other DC Solar investors, which include several major insurance companies and banks, to determine the best path forward to protect our interests and minimize the financial impact on the Company arising from the DC Solar fraud. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation; however, this impact could be as much as \$6.1 million, which includes related tax impacts.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

Pardee Resources Company
1500 Chestnut Street, Suite 2 #1950
Philadelphia, PA 19102